

India's Performance Against Competing Nations

Parameters	India	Indonesia	China	Mexico	Philippines	Russia
Availability of workforce-quantity	**	**	****	**	**	**
Availability of skilled workforce	**	*	**	**	*	**
Cost of labour	****	****	****	**	***	**
English language skills	****	*	**	**	***	**
Cost of quality of telecom infrastructure	***	*	***	**	**	*
Labour productivity	**	*	**	****	**	***
Perceived stability of government policies	**	*	***	**	**	*
Perceived operational risk	*	*	****	****	**	**

**** Very favourable * Unfavourable

the volume of manufacturing is pretty small compared to competing countries like China, Thailand and Malaysia. So EMS represents only a portion of the electronics market. Most of the products are being imported.

However, this trend is slowly changing as more and more foreign companies are looking at Indian EMS companies for their products to be made and sold in India because of access to the market, competitiveness and IP protection concerns in China.

Also, new segments like LED lighting, solar energy and defence are emerging fast in India, contributing to the growth of EMS business. There is a lot of electronics potential in LED lighting, whether for streetlighting or automotive lighting.

There has been a slowdown in telecom but the offset business will result in some traction in the sector. The automotive industry is replacing its older technology with more advanced technology that includes numerous electronic components and control units. The local manufacturing of automotive electronics products will further drive the need for local EMS suppliers to improve efficiency in the overall supply chain.

Primary hurdles

The entire ecosystem for EMS doesn't exist in India. Most of the raw materials and components for electronic products are imported. Hardly 10 per

cent components are manufactured locally. The inverted duty structure and complex procedures lead to further delays and increased cost of inputs.

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For instance, compartments of metro trains employ a lot of electronics. Even the airports now have a lot of electronic display systems and security systems. But most of this electronics is being imported. What happens right now is that the entire compartment of the train is imported from companies like Bombardier and Siemens. It should such happen that the entire train is made here, with all the electronics supplied by local manufacturers.

The first thing that the EMS business needs is a chip fabrication facility. Along with that, other component providers too need to come up. Manufacturing of every component has to be done here. As setting up large manufacturing facilities requires a lot of capital investment, the government should subsidise and give benefits to the industry to help set up these plants. Power, water and labour policies should be aligned such that entrepreneurs can take the decision to set up the plant. For Indian companies willing to enter into a joint venture with a foreign company to get the technology, the investment conditions should be such that they find it profitable.

Thankfully, with respect to plastics, sheet metal, PCB, wiring, magnetics and passive components, India has developed an ecosystem. In order to catch up with other preferred destinations, India needs to encourage manufacturing and develop this ecosystem further.

For high-value-added manufacturing in electronics, it is estimated that eight to ten per cent additional costs are borne by manufacturers, putting their products at a disadvantage against cheap imports from other large Asian suppliers. Unless the component base grows in India, its dependence on import will continue to be high.

There are three critical parameters affecting India's global share in industrial manufacturing. These are labour productivity, the perceived stability of